

Stockbrokers

Stockbrokers are always in touch with companies and are normally aware of their performance and other factors affecting the price of a share. However, it should be remembered that:

Stockbrokers usually view companies from a short term point of view.

- A lot of information that a broker gives is based on rumours and tips — many of which may be untrue and unsubstantiated.

Stockbrokers sometimes describe companies glowingly based on hearsay; this could be misleading.

Brokers may also give you information to make you buy the shares they want to offload.

These are the major sources of information. You must train yourself to listen and absorb information that you receive. You should analyze and interpret the information to determine the profitable course of action to be taken. This is the essential governing principle of fundamental analysis — action only after receiving and analyzing information.

It is also extremely important that one acts swiftly on the information received as the person who receives it first will often be the person to profit most from it. That is what Rothschild did.

18 June 1815, was a date that will be remembered as the day when one of the most decisive battles in Europe was fought — the day the Duke of Wellington pitted his 75,000 English troops against the 100,000 soldiers of Napoleon. The battle was momentous as the future of Europe and the European colonies around the world rested on its outcome.

Investors in London were concerned and worried. As the German army under Marshal Von Blucher had not joined its English ally at the time the battle began, there was concern that England would lose the battle. The British East India Company's trade with India and China was threatened. There was fear that its allies might desert England. The future of the English Empire was at stake.

Investors awaited news. Nathan Rothschild of the House of Rothschild, a leading merchant banker, aware of the importance of information, had invested a considerable sum to develop a private intelligence system. This